



Smoothing earnings

This is a business practice aimed at reducing volatility in company income and reported profit. Smoothing involves the use of accounting techniques to limit fluctuations in a company's earnings.

How it works

Investors like to see companies demonstrate a steady increase in income and profits over time, rather than large fluctuations between income in good and bad years.

It is possible for companies to smooth their earnings to avoid these sorts of large fluctuations. For example, managers can manipulate figures by choosing when to make provision (set aside money) for large expenses. Rather than making large investments, paying back loans, or making provision for big costs in a year in which income has

been low, they can instead make provision for those costs in a subsequent year, when the company's income has increased.

Smoothing earnings is generally a legal and legitimate practice and is a way of spreading profits over a number of years. By using this accounting practice, the financial statements of a company will show regular and steady growth, which encourages people to invest in it. However, it can also be used illegally, to disguise or hide losses and encourage investors to buy into a company that is insolvent.



NEED TO KNOW

- **Making provision** The setting aside of money for future expenses or potential liabilities.
- **Balance sheet** A company's income, expenditure, assets, capital reserves, and liabilities.
- **Profit and loss account** A financial statement showing a company's net profit or loss in a given period of 6 or 12 months.
- **Volatility** The ups and downs of income or reported profits.

Volatile earnings

Company A does not keep money in reserve to pay for large expenses or to cover its running costs in case of a downturn in profits. It is therefore more vulnerable to fluctuations in its income.



Good times: company spends

Profits are higher than anticipated, so the company spends money on new equipment, staff bonuses, and advertising. It does not keep any money in reserve.

Slump: company has no reserves

The company suffers an unexpected downturn in profits, but has no money set aside. It may struggle to meet its running costs and will be less attractive to investors.

